

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.92 ▲ 1.03%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.88B
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BBAI: Stuck Near Lows, Options Crowd Getting Bullish

WHAT'S CHANGED

- Not much overnight — Zacks dropped another piece this morning asking whether BBAI can keep innovating in AI without its overhead costs (think salaries, marketing, office expenses — known as SG&A) eating up all the gains.
- Stock is hovering near the bottom of its 52-week range (\$3.92 vs a \$3.01 low), and the options market is leaning surprisingly bullish — 6x more call bets than put bets, which means traders are betting on upside short-term.

IMPLICATIONS

BBAI is in a weird spot — the broader tech sector ripped +3% yesterday but BBAI barely moved 1%, which tells you the AI rally isn't really lifting this one anymore. Investors are getting pickier and want to see actual profits, not just AI buzzwords. The bullish options flow is interesting, but with the CFO selling shares last month (not a great look), the smart move is to wait for the next earnings report before getting excited.

VALUATION

At a \$1.88B market cap on roughly \$195M of expected revenue this year, investors are paying about \$10 for every \$1 of sales — that's expensive for a company still losing money. For comparison, profitable AI/defense names like Palantir trade richer but they actually make money. Fair value is probably around \$4.50 based on growth potential, so you're looking at maybe 15% upside in the base case — not enough to justify the volatility risk.

KEY RISKS

- They're not profitable and rising overhead costs (SG&A) could force them to raise cash by selling more stock, which would dilute your shares — meaning your slice of the pie shrinks.
- This stock swings hard — it's been as high as \$9.39 and as low as \$3.01 in the past year. One bad earnings print and it could drop 30% in a day.
- Heavy reliance on government/defense contracts means any budget cuts or contract delays in DC hit them directly.

RECENT NEWS

Can BigBear.ai Balance Rapid AI Innovation With Rising SG&A Expenses? Zacks · 2026-06-19 14:23

SoundHound's Drive-Thru AI Shows ROI: Can Restaurant Rollouts Scale? Zacks · 2026-06-18 14:28

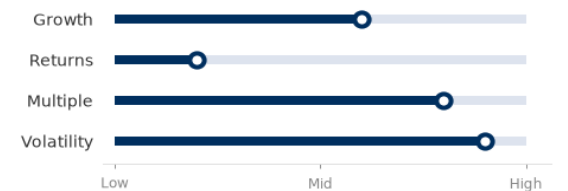
BigBear.ai's Valuation Is Rich, but Is the AI Opportunity Richer? Zacks · 2026-06-18 13:57

BigBear.ai Holdings, Inc. (BBAI) Suffers a Larger Drop Than the General Market: Key Insight... Zacks · 2026-06-16 22:00

Key Data

Price (USD)	\$3.92
12M Price Target	\$4.50
Upside / (Downside)	+14.8%
Market Cap	\$1.88B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.80	\$4.10	\$3.40
6 Months	\$6.00	\$4.50	\$2.80
1 Year	\$7.50	\$5.00	\$2.50
2 Years	\$10.00	\$6.00	\$2.00
5 Years	\$18.00	\$8.00	\$1.50
10 Years	\$30.00	\$12.00	\$1.00

SECTOR INTELLIGENCE

HEATING UP: Tech (+3% yesterday, +4.5% on the week), Consumer Discretionary, and Industrials are all catching bids.

COOLING OFF: Real Estate and Communication Services — investors don't want defensive/yield plays right now.

ROTATION WATCH: Money is flowing back into growth tech as rate cut hopes return, but it's the big profitable names (think Nvidia, Microsoft) getting the love — not unprofitable small caps like BBAI. That's why BBAI isn't fully participating in the rally.

RELATED PLAY: If you like the AI-for-government theme, Palantir (PLTR) is the bigger, profitable version of this trade. Riskier small-cap alternatives include SoundHound (SOUN), which keeps getting mentioned alongside BBAI in coverage.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Crushing it because they're actually profitable AND growing — the gold standard of the AI/defense trade.
- SOUN (SoundHound AI): Getting attention for real-world wins like drive-thru AI deployments showing actual ROI (return on investment — meaning the tech is making money for customers).

BBAI CONTEXT: BBAI is lagging badly. While PLTR is making new highs, BBAI is sitting at 14% of its 52-week range — basically near the floor. That's the market telling you it wants to see proof, not promises.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — Decent story, terrible execution proof so far. Wait-and-see mode.

POSITION SIZE: 1-2% of portfolio max. This is a speculative bet, not a core holding — size it so a 50% drop wouldn't hurt your sleep.

ENTRY POINTS: I'd wait for a pullback to \$3.20-3.50 (near the 52-week low) before stepping in. Chasing it here doesn't give you enough margin of safety.

TIME HORIZON: 12-18 months — you need at least 2-3 earnings reports to see if the growth story is real.

WHEN TO BAIL: Sell if revenue growth drops below 20% year-over-year, if they announce a stock offering (dilution), or if cluster insider selling starts.

HEDGING: Pair this with a long position in PLTR — if AI/defense theme works, both go up, but PLTR cushions you if BBAI stumbles. Alternatively, buy cheap puts (downside protection) around earnings dates.